

CS/ 1060

09 MAY 2023
2023

**KABIANGA FARMERS
CO-OPERATIVE SOCIETY LIMITED**

**ANNUAL REPORT AND FINANCIAL
STATEMENTS**

FOR THE YEAR ENDED 31ST DECEMBER, 2025.

MINISTRY OF CO-OPERATIVE DEVELOPMENT

P.O BOX 40811

NAIROBI

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2025.

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2025.

SOCIETY INFORMATION

THE COMMITTEE AND SUPERVISORY MEMBERS

THE COMMITTEE MEMBERS

MIKE KOROS	-CHAIRMAN
MOSES ROTICH	-VICE CHAIRMAN
JANETH CHEPKEMOI	-HON. SECRETARY
RAPHAEL SANG	-TREASURER
DAVID TOO	-MEMBER
LILIAN RONO	-MEMBER
JOHN CHERUIYOT	-MEMBER
DAVID RUTTO	-MEMBER
ISAIAH KORIR	-MEMBER

SUPERVISORY COMMITTEE MEMBERS:

PAUL SOI	-CHAIRMAN
RICHARD K.KIRUI	-HON. SECRETARY
BETCY KOSKEI	-MEMBER

REGISTERED OFFICES:

KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED
P.O. BOX 33,
KABIANGA.

PRINCIPAL BANKERS:

KENYA HIGHLANDS SACCO SOCIETY LTD-KABIANGA BRANCH.
CO-OPERATIVE BANK OF KENYA-KERICHO BRANCH
KENYA COMMERCIAL BANK-KERICHO BRANCH
IMARISHA SACCO SOCIETY LIMITED-KERICHO BRANCH

AUDITORS:

MINISTRY OF CO-OPERATIVE DEVELOPMENT AND MSMEs
P.O BOX 30547
NAIROBI.

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2025.

REPORT OF THE MANAGEMENT COMMITTEE

The members of the management committee submitted their annual report together with the audited financial statements for the year ended 31ST DECEMBER 2025.

Incorporation

The society is incorporated in Kenya under the co-operative society Act Cap 490 and is domiciled in Kenya.

Principal Activity

The principal activity of the society continued to be Marketing Farm produce for its Members.

Results

	2025 KSHS	2024 KSHS
Surplus/ (deficit) before tax	130,244.63	145,395.98
Income tax expense	-	(118,795.64)
Donation	-	-
Net Operating Surplus	130,244.63	26,600.34
20% Transfer to Statutory reserve	(26,048.93)	(5,320.07)
Surplus for the year available for	104,195.70	21,280.27

Management committee

The members of management committee who served during the year and to the date of this report is as listed on page 1

By order of management committee

Signature.....*[Signature]*.....Date.....*21/2/25*

SECRETARY.....*Janet Chopkon.*.....Date.....

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED

ANNUALREPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2025

Statistical information as at 30th December, 2025

	YEAR 2025	YEAR 2024
Membership -Active		
-Dormant		
	<u>Kshs</u>	<u>Kshs</u>
Share Capital	7,080,838.88	7,082,658.88
Statutory Reserves	1,507,597.19	1,481,548.27
Revenue reserve	28,003,500.00	23,498,500.00
Non Current assets	49,367,887.41	49,393,000.23
Current Assets	24,542,451.79	41,120,626.83
Current Liabilities	37,772,126.70	49,738,349.95
Working Capital	36,138,212.47	40,775,277.10
Gross Milk sales	194,870,933.50	214,841,514.26
Net amount realised	187,544,511.04	208,441,507.29
Payment to producers-Milk	178,166,899.50	199,099,874.00
Significant ratios & percentage	2025	2024
Current ratio	64.98%	82.67%
Payment percentage-Milk	96.24%	92.67%
Milk intake(Kgs)	4,236,324.64	4,774,255.87
Average rate of payment(Kshs)-Milk	46.90	45.25
Percentage of expenses to revenue		
Financial expenses	45.70%	46.18%
Personnel expenses	27.08%	25.82%
Governance (members related expenses)	5.84%	0.00%
Other operating expenses	0.00%	0.00%

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2025.

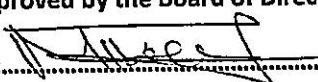
STATEMENT OF THE BOARD OF DIRECTORS' RESPONSIBILITIES

The co-operative societies Act cap 490 requires the Board of Directors to prepare financial statement for each of the year which gives a true and fair view of the state of affair of the society as at the end of financial year and of its operating results for that year in accordance with IFRS. It also requires the management committee to ensure that the society keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the society. They are also responsible for safeguarding the assets of the society and ensuring that the business of the society has been conducted in accordance with its objectives, by laws and any other resolutions made at society's general meeting.

The management committee accepts responsibility for the annual statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgment and estimates, in conformity with international financial standards and in the manner required by the co-operative Societies Act, Cap 490. The management committee is of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the society and of its operating results in accordance with the IFRS. The management committee further accepts responsibility for the maintenance of accounting records which may rely upon in the preparation of financial statements, as well as adequate systems of internal control.

Nothing has come to the attention of the management committee to indicate that the society will remain a going concern for at least twelve months from the date of this statement.

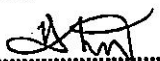
Approved by the Board of Directors on..... and signed on its behalf

by: .....Chairman

Signature

.....Treasurer

Signature

.....Committee member

Signature

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KABIANGAFARMERS COOPERATIVE SOCIETY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2025

**REPORT OF THE INDEPENDENT AUDITOR TO MEMBERS OF KABIANGAFARMERS
COOPERATIVE SOCIETY LIMITED**

We have audited the farmers' cooperative society's financial statements of **KABIANGA FARMERS COOPERATIVE SOCIETY** limited, set out on page 7 to 20 which comprise the balance sheet as at 31ST DECEMBER 2025, the income statement, statement of changes in equity and cash flow statement for the year ended and summary of significant accounting policies and other explanatory notes.

The management committee's responsibility for the financial statements

The board of directors is responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standard and the requirement of Kenya farmers' cooperative society's Act.

These responsibilities include designing, implementing and maintaining internal control relevant to the preparations and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in circumstances. The Kenya Farmers' cooperative society's Act also requires the board of directors to ensure that the farmers' cooperative society maintains proper books of accounts which are in agreement with the statement of financial position and statement of comprehensive income.

Auditor's responsibility

Our responsibility is to express an independent opinion on these financial statements based on our audit. We conducted our Audit in accordance with the International Standards of Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the risk assessment, the auditor considers the internal control relevant to the Farmers' cooperative society's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstance, but not for the purpose of expressing an opinion on the effectiveness of farmers' cooperative society's internal control. An audit also includes evaluating the appropriateness of accounting policies used and reasonableness of accounting estimates made by the management committee, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

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KABIANGAFARMERS COOPERATIVE SOCIETY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2025

**REPORT OF THE INDEPENDENT AUDITOR TO MEMBERS OF KABIANGA FARMERS
COOPERATIVE SOCIETY LIMITED**

Opinion

In our opinion, the financial statements give a true and fair view of the state of the Farmers' cooperative society's financial affairs at 30th September, 2025, the results of its operations and cash flows for the year ended in accordance with international financial reporting standards and the requirements of the Kenya Farmers' cooperative society's Act.

Report on the legal Requirement

As required by the Kenyan Farmers' cooperative society's Act we report to you that the financial statements are in agreement with the books of account kept by the Farmers' cooperative society and that, based on our audit, nothing has come to our attention that causes us to believe that the Farmers' cooperative society's business has not been conducted:

- a) In accordance with the provisions of the Farmers' cooperative society's Act.
- b) In accordance with the Farmers' cooperative society's objectives, by-laws and any other resolutions made by the Farmers' cooperative society at general meeting.

FOR AND ON BEHALF OF
AUDIT DEPARTMENT
MINISTRY OF CO-OPERATIVE AND MSMEs DEVELOPMENT
P.O BOX 30547
NAIROBI

CPA B. KIPKOECH CLIVE
COUNTY CO-OPERATIVE AUDITOR
KERICHO COUNTY
P.O BOX 298-20250
KERICHO
DATE 21/4/2026

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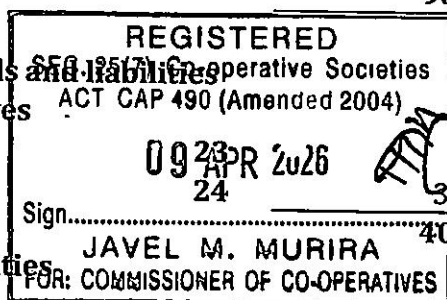
KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED**ANNUALREPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER,2025****Statement of incomprehensive income for the year ended 31st December,2025**

		2025 KSHS	2024 KSHS
	Notes		
Dairy Activity	2	9,377,611.54/	9,341,633.29
Milk Bar Activity	3	576,464.18/	1,669,794.65
Store Realization Account	4	1,642,786.40/	1,642,372.40
Tractor Activity	5	45,725.00/	-
Transport Activity	6	3,332,080.95/	2,024,396.90
Tea Farm Activity	7	(46,217.00)/	(63,750.02)
Other Income	8	184,725.08/	206,696.69
TOTAL INCOME		15,113,176.15/	14,821,143.91
EXPENSES			
Staff expenses	9	(4,092,942.00)/	(3,826,640.00)
Committee expenses	10	(882,310.00)/	(1,151,750.00)
Financial expenses	11	(6,906,946.48)/	(6,844,583.93)
Other expenses	12	(3,100,733.04)/	(2,852,774.00)
TOTAL EXPENSES		(14,982,931.52)/	(14,675,747.93)/
Net operating surplus/Deficit Befor		130,244.63/	145,395.98/
Income tax expense		-	(118,795.64)/
Donations		-	-
Net operating surplus/Deficit after		130,244.63/	26,600.34/
20% Transfer to statutory reserve		(26,048.93)/	(5,320.07)/
Surplus/Deficit Available for distril		104,195.70/	21,280.27/

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED**ANNUALREPORT AND FINANCAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2025****Statement of financial position for the year ended 31st December, 2025**

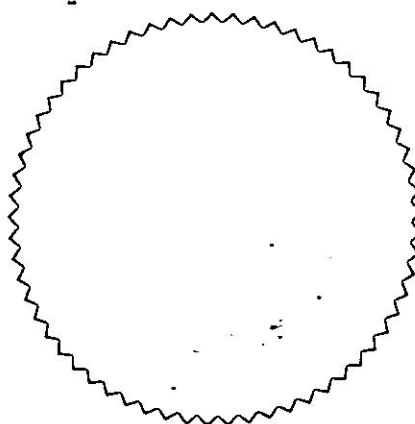
Non Current assets	Notes	2025	2024
		KSHS	KSHS
Property, plant and equipment	25	49,072,210.98/	49,078,529.91
Investment property	12	257,630.00/	257,630.00
Intangible Asset	26	63,159.25/	31,727.50
		49,393,000.23/	49,367,887.41/
Current Assets			
Accounts Receivables	13	31,298,131.25/	16,288,208.08
Debtor Members	14	7,788,059.80/	2,673,320.00
Debtor Non Members	15	-	-
Stock	16	1,562,958.20/	2,763,410.40
Cash and cash equivalents	17	341,477.58/	2,687,513.31
Kuscco Savings	18	130,000.00/	130,000.00
		41,120,626.83/	24,542,451.79/
Total Assets		90,513,627.06/	73,910,339.19/
Shareholders funds and liabilities			
Capital and reserves			
Share Capital		7,082,658.88/	7,080,838.88
Reserves		38,692,618.22/	29,057,373.59
		40,775,277.10/	36,138,212.47/
Non current liabilities			
Current liabilities			
Audit fees	19	25,000.00/	25,000.00
Trade Payables	20	40,584,799.30/	22,683,214.48
Members Savings	21	5,200,000.00/	5,200,000.00
Long term Loan	22	3,928,550.65/	9,863,912.22
Total liabilities		49,738,349.95/	37,772,126.70/
Total Shareholders and liabilities		90,513,627.06/	73,910,339.18/



The financial statement on pageTo..... were authorised for issue by management

Committee on And signed on behalf by:

Chairman.....Secretary.....Treasurer.....



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KABIANGA FARMERS' CO-OPERATIVE SOCIETY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2025

Statement of changes in Equity for the year ended 30th December, 2025

	Share capital Kshs	Statutory Reserve Fund Kshs	Revenue Reserves Kshs	Revaluation Reserve Kshs	Capital Reserves Kshs	Grants Kshs	TOTAL Kshs
Opening balances 01/01/2024	7,080,838.88	1,476,228.20	85,765.05	3,700,000.00	270,280.00	23,318,500.00	35,931,612.13
Prior year adjustments	-	-	-	-	-	-	-
Net surplus for the year	-	-	26,600.34	-	-	-	26,600.34
Transfer to statutory reserve fund (2)	-	5,320.07	(5,320.07)	-	-	-	-
Changes during the year	-	-	-	-	-	180,000.00	180,000.00
Balance as at 31/12/2024	7,080,838.88	1,481,548.27	107,045.32	3,700,000.00	270,280.00	23,498,500.00	36,138,212.47
Opening balances 01/01/2025	7,080,838.88	1,481,548.27	107,045.32	3,700,000.00	270,280.00	23,498,500.00	36,138,212.47
Prior year adjustments	-	-	-	-	-	-	-
Net surplus for the year	-	-	130,244.63	-	-	-	130,244.63
Transfer to statutory reserve fund (2)	-	26,048.93	(26,048.93)	-	-	-	-
Transfer from members savings	-	-	-	-	-	-	-
Changes during the year	1,820.00	-	-	-	-	4,505,000.00	4,506,820.00
Balance as at 31/12/2025	7,082,658.88	1,507,597.19	211,241.08	3,700,000.00	270,280.00	28,003,500.00	40,775,277.10

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED

ANNUALREPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER,2025**Statements of cash flow**

	2025 kshs	2024 kshs
Cash flow from operating activities		
Surplus before Taxation	130,244.63	145,395.98
Add:		
Depreciation	4,935,020.93	5,180,256.86
Amortization	27,068.25	13,597.50
Operating surplus Before working Capital	5,092,333.81	5,339,250.34
Cash flow From working Capital		
Increase/decrease in Accounts Receivables	(15,009,923.17)	(74,175.00)
Increase/decrease in Debtors members	(5,114,739.80)	(2,395,004.05)
Increase/decrease Debtor Non Members	-	-
Increase/decrease Audit fees	-	-
Increase/decrease payables	17,901,584.82	(13,378,978.42)
Increase/decrease in stocks	1,200,452.20	(1,661,048.40)
Increase/decrease in members savings	-	4,672,495.15
Cash flow From Working Capital	(1,022,625.95)	(12,836,710.72)
Cash flow from financing activities		
Contribution in shares	1,820.00	-
Increase/decrease Long term loan	(5,935,361.57)	(4,136,087.78)
Grants received	4,505,000.00	180,000.00
Audit fees paid	-	-
Income tax	-	(118,795.64)
Donation	-	-
	(1,428,541.57)	(4,074,883.42)
Cash flow from investment activities		
Purchase of property	(4,928,702.00)	(2,426,503.28)
Increase/decrease Kuscoco savings	-	-
Purchase of Intangible Asset	(58,500.00)	-
Net Cash flow from investing activities	(4,987,202.00)	(2,426,503.28)
Cash and cash equivalent	(2,346,035.73)	(13,998,847.08)
Cash and cash equivalent	(2,346,035.73)	(13,998,847.08)
Cash and cash equivalent as at 01.01.2025	2,687,513.31	16,686,360.39
Cash and cash equivalent as at 31.12.2025	341,477.58	2,687,513.31

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED**ANNUALREPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2025****Notes to financial accounts****Note.2:Dairy Activity****Income**

Sales of fresh Milk to New Kcc
Sale of fresh milk to the Milk Bar

Total income**Expenses**

Salaries and wages

Casual wages

Fuel & oil

Milk Transport

Water & Electricity bills

Licence & permits

Repairs and maintenance

Processing materials

Postage and telephone

Sundry expenses

KDB Cess

Rejected milk/losses

Total Expenses**Amount realised**

Payments to members

Balance to Surplus/Deficit account**2025****KSHS**

150,574,873.50

44,296,060.00

194,870,933.50

(977,796.00)

(316,305.00)

(3,441,381.16)

(1,757,300.00)

(35,000.00)

(396,356.00)

(29,000.00)

(69,513.00)

(78,839.80)

(224,931.50)

(7,326,422.46)187,544,511.04

(178,166,899.50)

9,377,611.54**2024****KSHS**

186,181,776.71

28,659,737.55

214,841,514.26

(1,027,749.00)

(966,475.00)

(2,505,852.97)

(1,480,749.00)

(15,000.00)

(182,877.00)

(56,000.00)

(84,927.00)

(62,665.00)

(17,712.00)

(6,400,006.97)208,441,507.29

(199,099,874.00)

9,341,633.29

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED

ANNUALREPORT AND FINANCAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER ,2025

Notes to financial accounts

Note.3:Milk Bar Activity

Income

Sale of milk Locally

Total income

2025

KSHS

51,150,823.43

51,150,823.43

2024

KSHS

34,014,360.00

34,014,360.00

Less: Cost of Goods Sold

Opening stock

Add:Purchases

Less:Closing stock

Total income

166,720.00

44,296,060.00

(9,720.00)

44,453,060.00

4,110.00

28,659,737.55

(166,720.00)

28,497,127.55

Expenses

Salaries and wages

Processing materials

Packaging materials

Kenya Dairy Board cess

Electricity

Repairs and maintenance

Rental expenses

Casual wages

Licenses

Fuel & Oil

Transport

Total Expenses

(1,565,088.00)

(1,327,781.00)

(1,282,476.64)

(228,618.00)

(566,187.60)

(167,113.01)

(436,000.00)

(150,394.00)

(10,400.00)

(282,557.00)

(104,684.00)

(6,121,299.25)

(946,406.00)

(639,568.02)

(505,875.00)

(236,566.00)

(444,225.00)

(401,174.78)

(278,500.00)

(80,487.00)

(14,600.00)

(212,090.00)

(87,946.00)

(3,847,437.80)

Balance to Surplus/Deficit account

576,464.18

1,669,794.65

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED**ANNUALREPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2025****Notes to financial accounts****Note.4: Store Realization Account**

	2025	2024
	KSHS	KSHS
Income		
Sale of goods	41,805,789.60	44,051,990.00
Total income	41,805,789.60	44,051,990.00

Less: Cost of Goods Sold

Opening stock	2,763,410.40	1,102,362.00
Add:Purchases	35,809,917.00	40,860,577.00
Less:Closing stock	(1,562,958.20)	(2,763,410.40)
Total income	37,010,369.20	39,199,528.60

Gross profit

4,795,420.40 / 4,852,461.40

Expenses

Salaries and wages	(1,868,580.00)	(1,400,496.00)
Repairs and maintenance	(31,750.00)	(29,188.00)
Travelling and subsistence AI Services	(284,900.00)	(189,400.00)
Committee allowances	(22,000.00)	(6,000.00)
Licence	(3,000.00)	(4,000.00)
Casual wages	(71,970.00)	(67,070.00)
Agrovet packaging materials	(130,750.00)	(252,021.00)
Purchase of AI materials	(310,095.00)	(225,390.00)
Electricity	(429,589.00)	(1,036,524.00)
Total Expenses	(3,152,634.00)	(3,210,089.00)

Balance to Surplus/Deficit account

1,642,786.40 / 1,642,372.40

Note.5: Tractor Activity

	2025	2024
	KSHS	KSHS
Income		
Income from Tractor	795,570.00	-
Total income	795,570.00	-

Expenses

Salaries and wages	(154,000.00)	-
Fuel & Oil	(425,596.00)	-
Repairs	(75,317.00)	-
Insurance	(94,932.00)	-
Total Expenses	(749,845.00)	-

Balance to Surplus/Deficit account

45,725.00 / -

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED**ANNUALREPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2025****Notes to financial accounts****Note.6: Transport Activity**

	2025	2024
Income	KSHS	KSHS
Income from Transport	7,230,660.75	5,191,869.90
Total income	7,230,660.75	5,191,869.90

Expenses

Salaries and wages	(632,952.00)	(685,698.00)
Fuel & Oil	(2,133,385.00)	(1,714,817.00)
Motorvehicle Repairs	(798,149.80)	(386,927.00)
Insurance	(311,093.00)	(340,031.00)
Committee allowances	(23,000.00)	(40,000.00)
Truck Branding	-	-
Total Expenses	(3,898,579.80)	(3,167,473.00)

Balance to Surplus/Deficit account

3,332,080.95	2,024,396.90
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Note.7: Society Farm Activity

	2025	2024
Income	KSHS	KSHS
Farm proceeds	7,000.00	43,193.08
Total income	7,000.00	43,193.08

Expenses

Tea Plucking Charges	-	(14,043.10)
Teafarm weeding	-	(3,700.00)
Planting of Nappier grass	(27,190.00)	-
Purchase of fertilizers	(5,000.00)	-
Casual wages	(21,027.00)	(89,200.00)
Total Expenses	(53,217.00)	(106,943.10)

Balance to Surplus/Deficit account

(46,217.00)	(63,750.02)
-------------	-------------

Note.8: Other Income

	2025	2024
	KSHS	KSHS
Dividends-Coop Holdigs	151,138.90	177,915.90
Safaricom Dividends	24,282.00	24,282.00
Rental income	-	2,000.00
Nomination fee	6,000.00	-
Kenya Highlands	1,907.03	610.09
CIC	1,397.15	1,888.70
Total	184,725.08	206,696.69

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2025

Notes to financial accounts

Note.8: Staff expenses

	2025	2024
	KSHS	KSHS
Salaries and wages	3,057,168.00	2,946,234.00
Other staff allowances	274,169.00	163,340.00
Staff travelling & subs.	36,667.00	27,800.00
NSSF	437,087.00	348,150.00
Staff welfare equipments(PPEs)	55,127.00	35,820.00
Affordable Housing Levy	84,724.00	17,696.00
Staff overtime wages	-	1,600.00
Staff welfare	148,000.00	286,000.00
Total	4,092,942.00	3,826,640.00

Note.9: Committee expenses

	2025	2024
	KSHS	KSHS
Committee Sitting allowances	231,500.00	274,000.00
Other Committee allowances	22,000.00	34,500.00
Committee travelling allowances	417,810.00	405,000.00
Committee welfare allowances	133,000.00	252,000.00
Executive board allowances	48,000.00	73,000.00
Supervisory board allowances	30,000.00	18,000.00
committee education and training		95,250.00
Total	882,310.00	1,151,750.00

Note.10: Financial expenses

	2025	2024
	KSHS	KSHS
Depreciation	4,935,020.93	5,180,256.86
Amortization charge	27,068.25	13,597.50
County Co-operative fee	19,000.00	19,000.00
Audit fee	5,000.00	5,000.00
Supervision fee	700.00	700.00
Recoverable expenses	300.00	300.00
Accounting /Book keeping fees	36,071.00	1,000.00
Bank /Mpesa charges	156,282.30	609,360.51
Finance Cost/Interest charges	1,727,504.00	1,015,369.06
Total	6,906,946.48	6,844,583.93

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED

ANNUALREPORT AND FINANCAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2025

Notes to financial accounts

Note.11: Other expenses

	2025	2024
	KSHS	KSHS
Public relation, Marketing and advertisement	91,900.00	611,333.00
Legal, consultancy & facilitation fees	148,940.00	192,500.00
Transport	217,985.00	192,329.00
Certification fees	51,700.00	146,151.00
Members Education	272,280.00	123,325.00
Entertainment & refreshments	230,528.00	235,404.00
AGM/SGM expenses	386,996.00	480,953.00
Annual milk software subscription	596,000.00	406,000.00
Printing and Stationary	233,665.00	143,889.00
Internet Charges	66,684.00	66,684.00
Sundry Expenses	78,839.80	90,878.00
Repairs and Maintenance	242,171.24	106,128.00
Casual Wages	68,850.00	42,200.00
Ushirika day celebration	60,000.00	15,000.00
Soap Detergents	333,935.00	-
Income Tax(KRA)	20,259.00	-
Total	3,100,733.04	2,852,774.00

Note.12: Investments

	2025	2024
	KSHS	KSHS
Shares K.D.C.U	25,360.00	25,360.00
Trade	64,540.00	64,540.00
Shares Co-op Bank	41,200.00	41,200.00
Safaricom shares	106,530.00	106,530.00
Imarisha Shares	10,000.00	10,000.00
KUSCCO Shares	10,000.00	10,000.00
Total	257,630.00	257,630.00

Note.13: Accounts Receivable

	2025	2024
	KSHS	KSHS
Transport Receivables-New KCC	1,325,732.75	5,249,233.08
Farmers Payment New KCC	29,972,398.50	11,038,975.00
Total	31,298,131.25	16,288,208.08

Note.14: Debtor Members

	2025	2024
	KSHS	KSHS
At the start of the year	2,673,320.00	278,315.95
Granted during the year	7,788,059.80	2,673,320.00
Repayments during the year	(2,673,320.00)	(278,315.95)
Total	7,788,059.80	2,673,320.00

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED**ANNUALREPORT AND FINANCAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER ,2025****Notes to financial accounts****Note.15: Debtor Non Members**

	2025	2024
	KSHS	KSHS
At the start of the year	-	-
Granted during the year	-	-
Repayments during the year	-	-
Total	-	-

Note.16: Stock

	2025	2024
	KSHS	KSHS
Store stocks	1,562,958.20	2,763,410.40
Total	1,562,958.20	2,763,410.40

Note.17: Cash and cash equivalents

	2025	2024
	KSHS	KSHS
Co-op bank-Current Account	2,482.06	43,045.10
Co-op bank-Savings Account	480.00	955,556.85
Kenya Highlands Sacco Society Ltd	43,193.16	152,261.17
KCB Account	245,173.57	1,478,107.00
National Bank	-	54.00
Imarisha Sacco soc ltd	47,582.79	47,144.19
Cash in Hand(Verified)	2,566.00	11,345.00
Total	341,477.58	2,687,513.31

Note.18: Kuscoco Savings

	2025	2024
	KSHS	KSHS
Kuscoco Savings	130,000.00	130,000.00
Total	130,000.00	130,000.00

Note.19: Audit fees

	2025	2024
	KSHS	KSHS
County Co-operative fee	19,000.00	19,000.00
Audit fee	5,000.00	5,000.00
Supervision fee	700.00	700.00
Recoverable expenses	300.00	300.00
Total	25,000.00	25,000.00

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED

ANNUALREPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER ,2025

Notes to financial accounts

Note.20: Trade Payables

	2025	2024
	KSHS	KSHS
At the start of the year	22,683,214.48	36,062,192.90
Granted during the year	36,106,202.00	19,264,373.48
Repayments during the year	(22,683,214.48)	(36,062,192.90)
Creditors	3,524,390.10	2,878,101.00
Accrued Salaries	954,207.20	540,740.00
Total	40,584,799.30	22,683,214.48

Note.21: Members Savings

	2025	2024
	KSHS	KSHS
At the start of the year	5,200,000.00	5,200,000.00
Contributions during the year	-	-
withdrawals during the year	-	-
Total	5,200,000.00	5,200,000.00

Note.22: Long term loan

	2025	2024
	KSHS	KSHS
Long term loan-Kenya Highlands & Coop-Ba	9,863,912.22	14,000,000.00
Granted during the year	(5,935,361.57)	-
Repayments during the year	-	(4,136,087.78)
Total	3,928,550.65	9,863,912.22

Note.23: Share Capital

	2025	2024
	KSHS	KSHS
At the start of the year	7,080,838.88	7,080,838.88
Contributions during the year	1,820.00	-
Total	7,082,658.88	7,080,838.88

Note.24: Reserves

	2025	2024
	KSHS	KSHS
Statutory reserves	1,507,597.19	1,481,548.27
Revaluation reserves	3,700,000.00	3,700,000.00
Capital reserves	270,280.00	270,280.00
Revenue reserves	211,241.03	107,045.32
Grants	28,003,500.00	23,498,500.00
Total	33,692,618.22	29,057,373.59

Notes to the Financial Statements

Note. 22: Property, plant and Equipment

	Land Kshs.	Building Kshs.	Posho Mill Kshs.	Freezer Kshs.	Computers & Accessories Kshs.	Furniture & Fittings Kshs.	Milk Cans Kshs.	Office Tools & Equipments Kshs.	Tools & Equipments Kshs.	Motor Vehicle-KAN 962N Kshs.	Milk Tanker KDK-340Z Kshs.
Cost /Valuation											
Balance as at 01/01/2024	8,700,000.00	14,736,130.63	18,108.59	197,110.61	150,025.26	319,394.64	1,181,648.56	22,498.44	130,490.59	349,453.13	5,880,037.50
Depreciation B/d	-	(1,526,667.63)	(46,430.82)	(50,734.26)	(134,288.25)	(98,256.25)	(326,619.44)	(4,851.56)	(46,470.58)	(271,796.88)	(2,240,012.50)
Additional	-	1,087,700.00	-	298,985.00	-	2,200.00	153,000.00	16,530.00	107,770.00	-	-
Disposal	-	-	-	496,095.61	150,025.26	321,594.64	1,334,648.56	39,028.44	238,260.59	349,453.13	5,880,037.50
Balance after Additions	8,700,000.00	15,823,830.63	18,108.59	496,095.61	150,025.26	321,594.64	1,334,648.56	39,028.44	238,260.59	349,453.13	5,880,037.50
Depreciation rates	-	5.00%	12.50%	12.50%	30.00%	12.50%	12.50%	12.50%	12.50%	25.00%	25.00%
Depreciation charge	-	(791,191.53)	(2,263.57)	(62,011.95)	(45,007.58)	(40,199.33)	(166,831.07)	(4,878.56)	(29,782.57)	(87,363.28)	(1,470,009.38)
Accumulated Depreciation	-	(2,317,859.16)	(48,694.39)	(112,746.21)	(179,295.83)	(138,455.58)	(493,450.51)	(9,730.12)	(76,253.15)	(359,160.16)	(3,710,021.88)
Balance as at 31/12/2024	8,700,000.00	15,032,639.10	15,845.02	434,083.60	105,017.68	281,395.31	1,167,817.49	34,149.89	208,478.02	262,089.85	4,410,028.43
Cost /Valuation											
Balance as at 01/01/2025	8,700,000.00	15,032,639.10	15,845.02	434,083.66	105,017.68	281,395.31	1,167,817.49	34,149.89	208,478.02	262,089.85	4,410,028.43
Depreciation B/d	-	(2,317,859.16)	(48,694.39)	(112,746.21)	(179,295.83)	(138,455.58)	(493,450.51)	(9,730.12)	(76,253.15)	(359,160.16)	(3,710,021.88)
Additional	-	228,557.00	-	-	-	-	-	-	195,145.00	-	-
Disposal	-	-	-	434,083.66	105,017.68	281,395.31	1,167,817.49	34,149.89	403,623.02	262,089.85	4,410,028.43
Balance after Additions	8,700,000.00	15,261,196.10	15,845.02	434,083.66	105,017.68	281,395.31	1,167,817.49	34,149.89	403,623.02	262,089.85	4,410,028.43
Depreciation rates	-	5.00%	12.50%	12.50%	30.00%	12.50%	12.50%	12.50%	12.50%	25.00%	25.00%
Depreciation charge	-	(763,059.80)	(1,980.63)	(54,260.46)	(31,505.30)	(35,174.49)	(145,977.19)	(4,268.74)	(50,452.88)	(65,522.46)	(1,102,507.03)
Accumulated Depreciation	-	(3,080,918.97)	(50,675.02)	(167,006.67)	(210,801.13)	(173,629.99)	(639,427.70)	(13,998.85)	(126,706.03)	(424,682.62)	(4,812,528.91)
Balance as at 31/12/2025	8,700,000.00	14,498,136.23	13,864.39	379,823.20	73,512.38	246,220.90	1,021,840.30	29,881.15	353,170.14	196,567.39	3,307,521.09

Energy Saving Jikos Kshs	Motor Bike-KMCX 671Z Kshs	Motor Bike(KMDA) Kshs	Motor Bike-KAQ Kshs	Motor Bike-KMEP 7311 Kshs	Plant & Machinery Kshs	Feeds Miller & Mixer Kshs	Water Tanks Kshs	Printers Kshs	Generator Kshs	Milk ATM Machine Kshs	Air Conditioner Kshs	Pasturizer Kshs
115,312.50 (89,687.50)	- (90,944.83)	81,279.92 (1,100,968.46)	12,472.55 (210,165.03)	180,000.00 -	5,853.09 (17,809.51)	675,000.00 (525,000.00)	82,125.00 (63,975.00)	61,304.69 (14,195.31)	1,976,298.75 (1,537,121.25)	273,980.00 (39,140.00)	73,839.48 (10,548.50)	421,093.75 (128,906.25)
115,312.50 25.00% (28,828.13) (118,515.63)	- 25.00% -	81,279.92 25.00% (20,319.98) (1,121,288.44)	12,472.55 25.00% (3,118.14) (213,283.17)	180,000.00 0.25 (45,000.00) (45,000.00)	5,853.09 10.00% (585.31) (18,394.82)	675,000.00 25.00% (168,750.00) (693,750.00)	82,125.00 25.00% (20,531.25) (84,406.25)	61,304.69 12.50% (7,663.09) (21,858.40)	1,976,298.75 25.00% (494,074.69) (2,031,195.94)	273,980.00 12.50% (34,247.50) (73,387.50)	247,709.48 12.50% (30,963.69) (41,512.19)	421,093.75 12.50% (52,636.72) (181,542.97)
86,484.38 (140,136.72)	- (90,944.83)	60,959.94 (1,136,528.43)	9,354.41 (215,621.77)	135,000.00 (78,750.00)	5,267.78 (18,921.60)	506,250.00 (820,312.50)	61,593.75 (99,804.69)	53,641.60 (28,563.60)	1,482,224.06 (1,111,668.05)	239,732.50 (103,354.06)	216,745.80 (68,605.41)	368,457.03 (227,680.10)
86,484.38 (118,515.63)	- (90,944.83)	60,959.94 (1,121,288.44)	9,354.41 (213,283.17)	135,000.00 (45,000.00)	5,267.78 (18,394.82)	506,250.00 (693,750.00)	61,593.75 (84,406.25)	53,641.60 (21,858.40)	1,482,224.06 (2,031,195.94)	239,732.50 (73,387.50)	216,745.80 (41,512.19)	368,457.03 (181,542.97)
86,484.38 25.00% (21,621.09)	- 25.00% -	60,959.94 25.00% (15,239.99) (1,136,528.43)	9,354.41 25.00% (2,338.60) (215,621.77)	135,000.00 25.00% (33,750.00) (78,750.00)	5,267.78 10.00% (526.78) (18,921.60)	506,250.00 25.00% (126,562.50) (379,687.50)	61,593.75 25.00% (15,398.44) (46,195.31)	53,641.60 12.50% (6,705.20) (46,936.40)	1,482,224.06 25.00% (370,556.02) (1,111,668.05)	239,732.50 12.50% (29,866.56) (209,765.94)	216,745.80 12.50% (27,093.22) (189,652.57)	368,457.03 12.50% (46,057.13) (322,399.90)

Fire Extinguishers KSHs	Cooler KSHs	Meter KSHs	Sunculture (Solar Panel & TV) KSHs	Auto Pouch Packing Machine KSHs	Rotary Cup Filling Machine KSHs	Milk Pump KSHs	Compressor KSHs	Tractor KSHs	Silage Chopper KSHs	Tents KSHs	Total Kshs.
51,679.69 (15,820.31)	12,424,461.21 (3,703,125.00)	4,826.57 (12,839.16)	137,858.33 (4,141.67)	1,318,965.52	2,327,586.21	103,448.28	302,448.28	-	-	104,000.00	51,832,283.45 (12,306,274.28) 1,840,055.00
51,679.69 12.50% (6,459.96) (22,280.27)	12,424,461.21 12.50% (1,512,109.37) (5,215,234.37)	4,826.57 12.50% (603.32) (13,442.48)	137,858.33 5.00% (4,020.87) (8,162.54)	1,318,965.52 12.50% -	2,327,586.21 25.00% -	103,448.28 12.50% -	302,448.28 12.50% (37,806.04) (37,806.04)	- 12.50% -	- 12.50% -	104,000.00 12.50% (13,000.00) (13,000.00) 91,000.00	54,258,786.77 - (5,180,256.86) (17,490,672.81) 49,078,529.91
45,219.73	10,912,351.84	4,223.25	133,837.46	1,318,965.52	2,327,586.21	103,448.28	264,642.25	3,655,000.00	850,000.00	-	4,505,000.00
45,219.73 (22,280.27)	10,912,351.84 (5,215,234.37)	4,223.25 (13,442.48)	133,837.46 (8,162.54)	1,318,965.52	2,327,586.21	103,448.28	264,642.25 (37,806.04)	-	-	91,000.00 (13,000.00)	49,078,529.91 (17,490,672.81) 423,702.00
45,219.73 12.50% (5,652.47) (27,932.74)	10,912,351.84 12.50% (1,364,043.98) (6,579,278.35)	4,223.25 12.50% (527.91) (13,970.93)	133,837.46 5.00% (6,691.87) (14,854.41)	1,318,965.52 12.50% -	2,327,586.21 25.00% -	103,448.28 12.50% -	264,642.25 12.50% (33,080.28) (70,886.32)	3,655,000.00 12.50% (456,875.00) (456,875.00)	850,000.00 12.50% (106,250.00) (106,250.00)	91,000.00 12.50% (11,375.00) (24,375.00) 79,625.00	54,007,231.91 - (4,935,020.95) (22,425,693.74) 49,072,210.98
39,567.26	9,548,307.86	3,695.34	127,145.59	1,318,965.52	2,327,586.21	103,448.28	231,561.96	3,198,125.00	743,750.00	-	49,072,210.98

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KABIANGA FARMERS CO-OPERATIVE SOCIETY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER, 2025

Notes to the Financial Statements

Note. 23: Intangible Asset

	SOFTWARE	TOTAL
	Kshs.	Kshs.
Cost /Valuation	-	-
Balance as at 01/01/2024	45,325.00	45,325.00
Depreciation B/d	(47,175.00)	(47,175.00)
Additional	-	-
Disposal	-	-
Balance after Additions	45,325.00	45,325.00
Depreciation rates	30%	-
Depreciation charge	(13,597.50)	(13,597.50)
Accumulated Depreciation	(60,772.50)	(60,772.50)
Balance as at 31/12/2024	31,727.50	31,727.50
Cost /Valuation	-	-
Balance as at 01/01/2025	31,727.50	31,727.50
Depreciation B/d	(60,772.50)	(60,772.50)
Additional	58,500.00	58,500.00
Disposal	-	-
Balance after Additions	90,227.50	90,227.50
Depreciation rates	30%	-
Depreciation charge	(27,068.25)	(27,068.25)
Accumulated Depreciation	(87,840.75)	(87,840.75)
Balance as at 31/12/2025	63,159.25	63,159.25

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